

Leadership and Management

Course: CPA — Certified Public Accountant

Level: Advanced Level (CA31 — Compulsory Paper)

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Syllabus version: Based on the standard KASNEB CPA Advanced Level Leadership and Management syllabus structure — strategic leadership, organisational behaviour, change management, and strategic human resource considerations relevant to senior finance professionals. Authored from general leadership and management knowledge and standard syllabus topic coverage, not copied from any existing notes provider, textbook, or third-party study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

Unit overview

Unit description. This paper builds the leadership and management judgement expected of a senior finance professional — someone who no longer just produces technical analysis, but leads teams, drives organisational change, and contributes to strategic decision-making at a senior level. It moves beyond Intermediate-level operational management into strategic leadership, organisational behaviour, and the softer, judgement-heavy skills that distinguish a senior finance leader from a competent technician.

Prerequisite. A candidate attempting this paper is expected to have cleared CPA's Foundation and Intermediate levels, with a solid grounding in general management principles already established. The paper is examined through a mix of essay-style and scenario-based questions, reflecting the judgement-oriented nature of the subject matter.

Learning outcomes. A candidate who passes this paper should be able to:

- Explain the role of strategic leadership in guiding an organisation's direction and culture.
- Apply organisational behaviour concepts to diagnose and address people-related challenges within a finance function or wider organisation.

- Evaluate approaches to organisational change and recommend how a change initiative should be led.
 - Apply strategic human resource management concepts relevant to building and retaining a capable finance team.
 - Evaluate ethical leadership dilemmas and recommend a reasoned course of action.
 - Apply negotiation and conflict-resolution principles to a realistic senior workplace scenario.
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Contents

1. Strategic leadership versus operational management
 2. Leadership theories relevant to senior roles
 3. Organisational culture
 4. Organisational behaviour — individuals, groups and teams
 5. Managing organisational change
 6. Strategic human resource management
 7. Ethical leadership and corporate social responsibility
 8. Negotiation and conflict resolution
 9. Full worked question — diagnosing a team performance problem
 10. Practice examination — KASNEB-style paper (original, not a past paper)
 11. Marking guide — model answers to the practice examination
 12. Exam technique and revision checklist
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1. Strategic leadership versus operational management

Operational management — covered at earlier levels — focuses on efficiently running existing processes: planning, organising, staffing, directing and controlling day-to-day activity.

Strategic leadership operates at a different altitude: setting an organisation's long-term direction, shaping the culture and values that guide countless smaller decisions made throughout the organisation, and making judgement calls under genuine uncertainty, where a single "correct" technical answer often doesn't exist. A senior finance professional increasingly needs both — the operational discipline to run a function well, and the strategic judgement to guide it toward the right long-term direction.

2. Leadership theories relevant to senior roles

- **Trait theories** — early leadership theory proposing that effective leaders share identifiable personal characteristics (confidence, integrity, decisiveness); useful as a starting reference point but now considered incomplete, since context and situation clearly matter too.
 - **Behavioural theories** — focus on what leaders actually *do* rather than who they *are*, distinguishing task-oriented behaviour (focused on getting the job done) from people-oriented behaviour (focused on relationships and morale).
 - **Contingency/situational theories** — argue effective leadership style depends on the situation: the team's maturity/competence, the urgency of the decision, and the nature of the task all shape which leadership approach actually works best.
 - **Transformational leadership** — leaders who inspire and motivate followers toward a shared vision, often driving significant change, contrasted with **transactional leadership**, which relies more on structured exchanges (clear expectations, rewards and corrective action) to secure performance.
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3. Organisational culture

Organisational culture is the shared values, beliefs and norms that shape how people within an organisation actually behave, often described as "how things are really done around here," distinct from what's formally written in a policy manual. Culture is shaped by leadership behaviour (what leaders visibly reward and tolerate speaks louder than any stated value), organisational stories and rituals, and the systems an organisation builds (e.g. what a performance appraisal system actually measures and rewards). A senior finance leader who wants to genuinely shift culture — say, toward greater risk-awareness — needs to change what's actually rewarded and modelled, not just issue a new values statement.

4. Organisational behaviour — individuals, groups and teams

At the **individual level**, organisational behaviour examines motivation, perception and attitudes, and how these shape workplace performance. At the **group/team level**, it examines how teams develop (commonly described through stages such as forming, storming, norming and performing), the dynamics of group decision-making (including risks like groupthink, where a team's desire for consensus suppresses genuinely critical evaluation of alternatives), and how team composition and diversity affect performance and decision quality. A senior leader diagnosing a struggling team needs to identify which level — individual, group, or organisational-system — the underlying problem actually sits at, since the

same visible symptom (e.g. missed deadlines) can stem from very different root causes at each level.

5. Managing organisational change

Organisational change frequently fails not because the technical plan was wrong, but because the human side of change was poorly managed. A widely used framing of change resistance identifies several common sources: fear of the unknown, perceived loss of control or status, poor communication about *why* the change is happening, and simple habit/inertia. Effectively leading change generally requires: clearly communicating a compelling case for why change is necessary, involving affected people in shaping the change rather than simply announcing it, providing genuine support (training, resources) through the transition, and reinforcing the change once implemented so it doesn't quietly revert to the old way of doing things once attention moves elsewhere.

6. Strategic human resource management

Strategic human resource management (SHRM) aligns HR policy and practice directly with an organisation's overall strategy, rather than treating HR as a purely administrative function operating separately from strategic decisions. For a senior finance leader, this means thinking deliberately about how to attract, develop and retain the specific finance talent a growing or changing organisation actually needs — succession planning for key finance roles, targeted development of high-potential staff, and designing reward structures that reinforce the behaviours the finance function genuinely needs (e.g. rewarding accuracy and risk-awareness, not just speed).

7. Ethical leadership and corporate social responsibility

Ethical leadership means a leader's decisions are visibly and consistently guided by ethical principles, not just legal minimums or short-term convenience — and that the leader models this behaviour rather than merely stating it as policy. **Corporate social responsibility (CSR)** extends this outward: an organisation's voluntary consideration of its broader impact on society and the environment, beyond the minimum legally required. Senior finance leaders regularly face ethical dilemmas with no clean, universally agreed answer — for instance, weighing short-term cost savings against a decision's longer-term reputational or stakeholder impact — and are expected to reason through these transparently, not simply default to whichever option is cheapest.

8. Negotiation and conflict resolution

Negotiation — reaching agreement between parties with differing interests — is a genuine leadership skill, not just a technique for formal contract discussions; it applies equally to internal disagreements over budget allocation or resourcing priorities. Effective negotiators prepare thoroughly (understanding their own priorities and, as far as possible, the other party's), separate the underlying interests from each side's stated positions, and look for solutions that expand the available value rather than simply dividing a fixed pie. **Conflict resolution** approaches range from avoiding (postponing the issue), accommodating (yielding to preserve the relationship), competing (pursuing one's own position firmly), compromising (each side gives up something), to collaborating (jointly finding a solution that genuinely satisfies both sides) — with collaborating generally the most effective approach for significant, recurring workplace conflicts, though not always practical under severe time pressure.

9. Full worked question — diagnosing a team performance problem

Scenario. A finance team's monthly reporting has become consistently late over the past three months. The team leader has responded by tightening deadlines and issuing formal warnings, but performance has not improved. Team members privately report that a new reporting system introduced four months ago is confusing and poorly explained, and that they were never consulted before its rollout.

Required: (a) Identify the likely root cause of the performance problem. (b) Explain why the team leader's response has not worked. (c) Recommend a more effective approach.

Solution:

(a) The likely root cause is a **poorly managed organisational change** — the new reporting system was introduced without adequate consultation, training, or explanation, creating genuine confusion and resistance, rather than the team's underlying diligence or ability being the actual problem.

(b) The team leader's response has not worked because it treats the symptom (late reports) as a discipline problem, when the underlying cause is a **system and change-management failure** — tightening deadlines and issuing warnings adds pressure without addressing the genuine confusion caused by inadequate training and consultation, and may further damage morale and trust.

(c) **Recommendation:** the team leader should engage directly with the team to understand the specific difficulties with the new system, provide proper, targeted training and support,

and involve the team in identifying practical fixes to the reporting process — addressing the actual root cause rather than continuing to apply pressure to a symptom.

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB CPA examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CPA ADVANCED LEVEL — LEADERSHIP AND MANAGEMENT (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Distinguish between strategic leadership and operational management. (8 marks)
- (b) Distinguish between transformational and transactional leadership. (8 marks)
- (c) Outline ONE limitation of trait theories of leadership. (4 marks)

(Total: 20 marks)

QUESTION TWO

- (a) Define "organisational culture" and explain how leadership behaviour shapes it. (10 marks)
- (b) Explain the concept of "groupthink" and its risk to organisational decision-making. (10 marks)

(Total: 20 marks)

QUESTION THREE

- (a) Outline FOUR common sources of resistance to organisational change. (12 marks)
- (b) Outline THREE actions that support effectively leading organisational change. (8 marks)

(Total: 20 marks)

QUESTION FOUR

(a) Explain the concept of strategic human resource management, distinguishing it from purely administrative HR. *(10 marks)*

(b) Explain why ethical leadership requires more than avoiding illegal conduct. *(10 marks)*

(Total: 20 marks)

QUESTION FIVE

Two department heads disagree over budget allocation for a shared project, with each firmly defending their department's position.

(a) Outline the FIVE conflict-resolution approaches and identify which is generally most effective for this kind of recurring conflict. *(14 marks)*

(b) Explain ONE principle of effective negotiation relevant to resolving this dispute. *(6 marks)*

(Total: 20 marks)

11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(8 marks)* — Operational management focuses on efficiently running existing day-to-day processes; strategic leadership sets long-term direction and shapes culture, involving judgement under genuine uncertainty.

(b) *(8 marks)* — Transformational leadership inspires/motivates followers toward a shared vision, often driving change; transactional leadership relies on structured exchanges (clear expectations, rewards, corrective action).

(c) *(4 marks)* — Trait theories don't account for how situation/context shapes which leadership approach actually works, treating leadership as a fixed set of personal characteristics regardless of circumstance.

QUESTION TWO

(a) *(10 marks)* — Organisational culture is the shared values/beliefs/norms shaping actual behaviour; leadership behaviour shapes it because what leaders visibly reward and tolerate is more influential than any formally stated value.

(b) *(10 marks)* — Groupthink is when a group's desire for consensus suppresses genuinely critical evaluation of alternatives, risking poor decisions being made without adequate challenge or scrutiny.

QUESTION THREE

(a) (12 marks — 3 marks each) — Fear of the unknown, perceived loss of control/status, poor communication about why change is happening, habit/inertia.

(b) (8 marks) — Clearly communicating the case for change, involving affected people in shaping it, providing genuine support/training through the transition (reinforcing the change afterward also acceptable).

QUESTION FOUR

(a) (10 marks) — SHRM aligns HR policy/practice with overall organisational strategy; distinct from administrative HR, which handles transactional tasks without strategic alignment.

(b) (10 marks) — Ethical leadership requires consistently modelling ethical principles even where not legally required, since legal minimums don't cover every genuine ethical dilemma a leader faces, and stakeholders judge leaders on more than bare legal compliance.

QUESTION FIVE

(a) (14 marks — up to 10 marks for outlining all five, 4 marks for identifying the most effective) — Avoiding, accommodating, competing, compromising, collaborating; collaborating is generally most effective for significant, recurring conflicts since it seeks a solution genuinely satisfying both sides rather than one side yielding or a forced compromise.

(b) (6 marks) — Separating each department's underlying interests from their stated positions can reveal shared goals or trade-offs neither side initially considered, supporting a genuinely collaborative resolution.

12. Exam technique and revision checklist

- Always distinguish related leadership-theory pairs precisely (transformational vs transactional; trait vs behavioural vs contingency) with a clear description of each.
- Culture questions: always connect culture to leadership *behaviour* specifically (what's rewarded/modelled), not just to written policy statements.
- Change-management scenario questions: identify the specific source of resistance and the specific missing leadership action, mirroring the structure of the worked example above.
- SHRM questions: anchor your answer to *strategic alignment* as the defining feature, distinguishing it clearly from administrative HR tasks.
- Conflict/negotiation questions: name the five conflict-resolution approaches precisely, and always justify which is most appropriate for the specific scenario given, rather than asserting one approach is always best.

Quick revision — one line per topic:

1. Strategic leadership (direction/culture, judgement under uncertainty) vs operational management (running existing processes efficiently).
 2. Leadership theories: trait, behavioural, contingency/situational, transformational vs transactional.
 3. Organisational culture: shared values/norms, shaped by what leaders visibly reward and model.
 4. Groupthink: consensus-seeking suppresses critical evaluation of alternatives.
 5. Change resistance: fear of unknown, loss of control, poor communication, habit/inertia.
 6. Leading change: communicate the case, involve people, support through transition, reinforce afterward.
 7. SHRM: aligns HR policy with organisational strategy, not just administrative HR tasks.
 8. Conflict resolution: avoiding, accommodating, competing, compromising, collaborating (generally most effective for recurring, significant conflicts).
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End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.